Ex Tempore

ZIMBABWE MANPOWER DEVELOPMENT FUND
versus
LEONARD RWAMBIWA
and
ZIMBABWE REVENUE AUTHORITY

HIGH COURT OF ZIMBABWE
DEME J
HARARE, 12 and 19 June 2026

Opposed Application

E Mubaiwa, for the Applicant
B Magogo, for the 1st Respondent
No appearance for the 2nd Respondent.

DEME J: The Applicant is seeking declaratory relief in terms of Section 14 of the High Court Act [*Chapter 7:06*]. The first Respondent is the former employee of the Applicant. The Applicant seeks an order that the amount of damages awarded to the first Respondent by the judgment of the Labour Court as amended by the Supreme Court be subjected to the provisions of Income Tax Act [*Chapter 23:06*]. The Applicant holds the view that the first Respondent has an obligation of paying income tax. According to the Applicant, the damages awarded to the first Respondent constitutes first Respondent's income which creates an obligation of tax upon the first Respondent. In particular, the Applicant is seeking the following relief:

1. "The judgment debt in terms of the judgment of the Labour Court of Zimbabwe under case number LC/H/912/24 dated 31st of December 2024 as subsequently amended by the Supreme Court under case number SC/52/25 is subject to taxation in terms of the Income Tax Act.
2. The income tax Liability of the first respondent under the above judgment debt was in the amount of US$31 344.00 and was lawfully deducted by the applicant and fully remitted to the second respondent.

3. The payment of the sum of ZWL126 632.47 to the first respondent and the remittal of income tax to the second respondent fully and finally settled the judgment debt and the applicant's obligation to the first respondent in terms of the judgment of the Labour Court.
4. First respondent shall pay on the scale of the legal practitioner and client (sic)."

The application was opposed by the first Respondent who raised three points *in limine*. In his first point *in limine*, the first Respondent is of the view that this court does not have jurisdiction to hear the matter. By way of his second point *in limine*, the first Respondent averred that the issue of income tax is now *res judicata* having been definitively resolved by the Magistrates Court and the Supreme Court. Through supplementary heads of argument, the first Respondent raised a further point *in limine*. It was submitted on behalf of the first Respondent that the deponent to the founding affidavit failed to attach to the founding affidavit a valid resolution.

I will now turn to the determination of the points *in limine*. I will not necessarily follow the order of the points *in* limine. The first Respondent argued that the deponent to the founding affidavit namely Mr. *Marume* was not authorized by the Applicant to depose to the founding affidavit. According to the first Respondent, the resolution filed is a blanket resolution which authorizes prospective litigation. Such a resolution, according to the first Respondent is prohibited. Reference was made to the cases of *Latifa Sidat and Ors* v *Nazirf Lanbat and Ors*[1], *Arosume Property Development (Pvt) Ltd* v *Mashonganyika and Anor*[2], *Beach Consultancy (Pvt) Ltd* v *Makonya and Anor* [3], *Leechiz Investments (Pvt) Ltd* v *Central Africa Building Society*[4], *Madzivire* v *Zvarevadza and Anor*[5] *and Dube* v *PSMAS and Anor*[6].

[1] HH50/24.

[2] HH143/25.

[33] HH96/21

[4] HH269/23.

[5] 2006 (1) ZLR ZLR 514 (S).

[6] 2019 (3) ZLR 589 (S).

Responding to this point *in limine*, adv *Mubaiwa* submitted that Mr. *Marume* has been representing the Applicant in the related matters. On this reasoning, he argued that the point *in limine* is baseless. He drew the court's attention to the case of *Riogold (Pvt) Ltd* v *Falcon Gold Zimbabwe Ltd*[7]. Adv *Magogo* did not dispute that Mr. *Marume* was representing the Applicant in previous litigations between the parties.

In my view, it is now well settled that a resolution used in one litigation may be used in future related matters between the same parties. In the case of Riogold (Pvt) Ltd *supra*, CHITAKUNYE JA remarked as follows:

> "It is apparent that what is required is evidence or proof that the person representing the legal entity is not on a frolic of his/her own but has the authority of the entity to do so and that it is the legal entity litigating. The board resolution is evidence of such authority. The evidence of such representation must be sufficient to show that it is the legal entity litigating. Thus, even a board resolution may be challenged in circumstances where other factors point to a contrived position on how it was obtained. The circumstances of each case must therefore be considered in assessing what has been put forth as proof of such authority.
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> *In Delta Beverages (Sorghum Operations) and Anor* v *Chirau* HH 421/18 p 2-3 DUBE J (as she then was) noted that:
> "A respondent alleging lack of authority on the part of a deponent to a founding affidavit is required to place before the court evidence or facts demonstrating such lack of authority, see *Direct Response Marketing (Pvt) Ltd* v *Shepherd* 1993 (2) ZLR 218. In this case, the court held that unless peculiar circumstances exist, an averment in an affidavit to the effect that the deponent has authority to depose to an affidavit suffices. In *Mall [Cape] (Pty) Ltd* v *Merino Ko-operasie* BPK 1957 (2) SA345(C) court held that a deponent to a founding affidavit must satisfy the court that it has the correct litigant before it. Where there is no actual authority authorizing him to bring the proceedings challenged, the deponent to the founding affidavit is required to place a 'minimum of evidence' before the court to show that he has the requisite authority to bring the proceedings."

In *casu*, it is common cause that parties had been litigating for a while with Mr Saunders representing the first respondent without any challenge. The appellant, in fact, accepted Mr Saunders' authority to represent the first respondent in the dispute. In the first leg of the dispute the appellant accepted Mr Saunders' authority as stated in the opposing affidavit. Evidently therefore, the appellant accepted that it was the first respondent that was litigating. In its demand for a company resolution the appellant did not allude to any changes in the factual conspectus that now necessitated the need to produce the resolution. It would appear that the appellant,

[7] SC19/26.

having lost the first leg of the battle, had no other ammunition to employ other than to belatedly seek to challenge Mr Saunders' authority to represent the first respondent, despite such authority having been admitted in the first leg. This is clearly a desperate attempt to escape liability. The requirement for such authority was not meant to be used as an escape route in an act of clutching at straws. Had the demand been genuine surely the appellant would have stated what new facts had necessitated this in view of its earlier acceptance that it was the first respondent litigating.

In *African Banking Corporation of Zimbabwe Ltd* t/a *Banc ABC* v *PWC Motors (Pvt)Ltd & Ors* HH 123/13 at p 4 MATHONSI J (as he then was), faced with a point *in limine* to the effect that the deponent to an affidavit required in an application for summary judgment had not attached a company resolution, remarked that:

> "However, it occurs to me that that form of proof is not necessary in every case as each case must be considered on its own merits. *Mall (Cape) (Pvt) Ltd* v *Merino KO-Oprasie Bpk* 1957 (2) SA 345 (C). All the court is required to do is satisfy itself that enough evidence has been placed before it to show that it is indeed the applicant which is litigating and not an unauthorised person.
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> To my mind the attachment of a resolution has been blown out of proportion and taken to ridiculous levels. Where the deponent of an affidavit states that he has the authority of the company to represent it, there is no reason for the court to disbelieve him unless it is shown evidence to the contrary. Where no such contrary evidence is produced the omission of a company resolution cannot be fatal to the application. I therefore reject the point *in limine*."

Equally in *Tian Ze Tobacco Co. (Pvt) Ltd* v *Muntuyedwa* [2015] ZWHHC at pp 1-2, a case wherein the respondent's indebtedness was not in doubt, the respondent sought to resist the registration of an arbitral award on the basis that the deponent to the applicant's affidavit had not attached a company resolution but did not express any doubt that it was the applicant litigating. The court, in dismissing the point *in limine*, aptly noted that:

> "The respondent has not shown that it is not the applicant that is litigating but an unauthorised person. All he wants is a dismissal of the application because a resolution of the board of directors of the applicant has not been produced. It is now fashionable for respondents who have nothing to say in opposition to question the authority of the deponent of a founding affidavit in order to appear to have a defence. …."

Adv *Magogo* did not dispute that Mr. *Marume* had been representing the Applicant in the other related matters. Based on this concession, the point *in limine* is unmerited. Reference is

also made to the case of *Valentine and Anor* v *Blooming Investments (Private) Limited and Ors*[8], where the Supreme Court held that:

> "(28) The need for any person representing a company to have the company's authority to do so was dealt with by this Court in *Madzivire & Ors* v *Zvarivadza & Ors* 2006 (1) ZLR 514 (S) where it was held that a company, being a separate legal *persona* from its directors, cannot be represented in a legal suit by a person who has not been authorised to do so. At p 516 B-E CHEDA JA, delivering the judgment of the court said:
> "It is clear from the above that a company, being a separate legal *persona* from its directors, cannot be represented in a legal suit by a person who has not been authorised to do so. This is a well-established legal principle, which the courts cannot ignore. It does not depend on the pleadings by either party."

(29) In the case of *Cuthbert Elkana Dube* v *Premier Service Medical Aid and Another* SC 73/19, at para. 38 of the cyclostyled judgment it was held that:

> "The above remarks are clear and unequivocal. A person who represents a legal entity, when challenged, must show that he is duly authorized to represent the entity. His mere claim that by virtue of the position he holds in such an entity he is duly authorized to represent the entity is not sufficient. He must produce a resolution of the board of that entity which confirms that the board is indeed aware of the proceedings and that it has given such a person the authority to act in the stead of the entity. I stress that the need to produce such authority is only necessary in those cases where the authority of the deponent is put in issue. This represents the current status of the law in this country."

(30) Therefore, a company resolution is required for two reasons, first, to prove that the entity is aware of the legal proceedings and has authorised them and, secondly, that the person representing it has been clothed with the requisite authority to represent it in the proceedings.

(31) In *casu*, the resolution presented on behalf of the first respondent satisfied both requirements of a valid resolution. The resolution in question proves that the first respondent was aware of the legal proceedings and it authorized Tapiwa Gurupira to represent it. It is also common cause that the first appellant and Tapiwa Gurupira have been involved in various litigation relating to these mining claims and he has always represented the first respondent. I see no basis why his authority to represent the first respondent can be validly challenged at this stage. The fact that the resolution has a date after the litigation had been instituted is an obvious

[8] SC42/23.

error. It was filed on 6 April 2022 together with the respondent's founding affidavit and other pleadings proving that it was generated before the pleadings were filed. It is illogical to argue that it was made thereafter when it is clear that it was in existence when the respondents' pleadings were filed on 6 April 2022.

(32) Mr *Hashiti* for the first respondent correctly submitted that the ownership by the first respondent of the mining claims in issue, had been subject to litigation between the same parties and the court found that Tapiwa Gurupira was the owner of 100 per cent shares of the first respondent. He contended that Tapiwa Gurupira's authority to represent the first respondent was further established by an extant order of the court *a quo* in HC 119/18. The court *a quo* cannot therefore be faulted for holding that Tapiwa Gurupira had the requisite authority to represent the first respondent. There was a valid resolution authorising him to do so coupled with extant court orders wherein it was clear that he represented the first respondent and was its approved credited agent."

In the circumstances, the point *in* limine on the issue of resolution is hereby dismissed. I will now shift my focus to the question of *res judicata*. The first Respondent is of the view that the issue of income tax is now *res judicata*. Firstly, the first Respondent argued that the judgment of the Labour Court was registered with the Magistrates Court. According to Adv Magogo's submissions, the question of whether the judgment debt is subject to the deduction of income tax was central to the resolution of the matter before the Magistrates Court. He argued that the Magistrates court resolved this question. Reference was made to page 73 of the record where the court ruled that:

> "The respondent opposed and stated that all the figures should be subject to the Income Tax Law Act [*Chapter 23:06*]. I am guided by the case of Ndlovu v Higher Learning HB -86-2010. The registration of the award is done for purposes of enforcement only. The court can only register the order so that it has the effect of a civil judgment of the appropriate court and nothing more. I cannot, therefore, start to make a determination on the taxes applicable in figures already determined by the Supreme Court. The point raised is therefore lacks merit and is dismissed."

Adv *Magogo*, in his second leg of argument, contended that the Supreme Court rejected the same argument when it was placed before it by the Applicant. Reference was made to

paragraph 18 of the Applicant's heads of argument filed with the Supreme Court. He further maintained that the Applicant ought to have requested for the reasons for the Supreme Court's decision.

Adv *Magogo* further submitted that the decision of the Supreme Court is final in nature and binding upon lower courts. Reference was made to Section 24 of the Supreme Court Act [*Chapter 7:13*]. On this basis, Adv *Magogo* prayed for the dismissal of the present application. Reference was made to the case of *Shamrock Holdings* v *Minister of Environment and Tourism and Ors*[9].

Adv *Mubaiwa* submitted that the issue of Income Tax liability is a statutory requirement which can only be amended by Parliament. He argued that no court can vary this requirement. He further insisted that the Applicant is obliged in terms of the Income Tax Act to deduct the income tax from the amount of damages awarded to the first Respondent.

Res judicata was widely defined in our jurisdiction. In the case of Shamrock Holdings *supra*, GARWE JA as he then was propounded the following remarks:

> "The *exceptio rei judicatae* is based principally upon the public interest that there must be an end to litigation and that the authority vested in judicial decisions be given effect to even if erroneous. It is a form of estoppel and means that where a final and definitive judgment is delivered by a competent Court, the parties to that judgment or their privies are not permitted to dispute its correctness – see *Wolfenden v Jackson* 1985(2) ZLR 313(SC) 316C-D. See also *Tsvangirai & Ors v Registrar General* 2002(2) ZLR 653(S), 666C-D and *Flood v Taylor* 1978 RLR 230, 232C-D.
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> The requisites for a valid defence of *res judicata* in Roman Dutch Law are that the matter adjudicated upon, on which the defence lies, must have been for the same cause between the same parties and the same thing must have been demanded. The rule that the same thing must have been demanded in both actions has been held to mean that where a Court has come to a decision on the merits of a question in issue, that question, at any rate as a *causa petendi* of the same thing between the same parties, cannot be resuscitated in subsequent proceedings – see *Horowitz v Brock & Ors* 1988(2) SA 160A, 178-179."

In *casu*, it is not disputed that the judgment of the Labour Court was registered with the Magistrates Court for enforcement. The Magistrates Court's ruling demonstrates that the

[9] SC21/10.

question of income tax was resolved. The court dismissed the question of whether the Applicant ought to deduct the income tax from the amount of damages awarded to the first Respondent. The Magistrates Court observed that the matter was resolved by the Supreme Court. On this reasoning, the question of income tax was resolved and cannot be relitigated.

Adv *Mubaiwa* submitted that the Magistrates court refused to deal with this issue. I disagree with this submission. The Magistrates Court dismissed the argument of the Applicant on the basis that the Supreme Court resolved this question.

Adv *Magogo* argued that even assuming that the Magistrates Court refused to entertain the Applicant's argument, the Applicant had the remedy of approaching a superior court by way of appeal. In response, Adv *Mubaiwa* argued that a court's refusal to deal with the matter is not appealable.

Although Adv *Mubaiwa's* submission is correct on whether the court's refusal to make a determination on an issue before it is appealable, the Applicant ought to have approached this court by way of review. The Applicant's failure to challenge the decision of the Magistrates Court makes that decision final. Hence the issue of whether the Applicant may deduct income tax from the damages awarded to the first Respondent is now *res judicata*. The Applicant is estopped from relitigating on this issue

Further, the same issue was placed before the Supreme Court by the Applicant. In paragraph 18 of the Applicant's heads of argument filed with the Supreme Court, the Applicant argued that:

> "With respect, it is contended that the Labour Court grossly erred on a question of law by awarding the Appellant damages money without making provision for the deduction of pay as you earn tax as required by the law. See Chiriseri v Plan International 2002 (2) ZLR261 (S), Madyara v Globe &Phoenix Industries (Pvt) Ltd 2002 (2) ZLR 269 (S)."

This aspect was rejected by the Supreme Court in case number SC52/25. The Supreme Court confirmed the Labour Court's judgment in case number LC/H/520/24 with amendments. If the Applicant is seeking clarification on the Supreme Court's judgment, it ought to have approached the Supreme Court for an appropriate remedy. Once the Supreme Court has

determined a matter, its decision is final in nature save for constitutional issues which may arise therefrom. Reference is made to Section 24 of the Supreme Court Act which provides that:

> "Except as otherwise provided in any other law, judgment of the Supreme Court in any appeal in terms of this Part shall be recorded in the court or tribunal of first instance and such judgment may be enforced in all respects as if it had been given by the court or tribunal."

In *casu*, the Supreme Court judgment which amended the Labour Court judgment must be construed as final in nature in accordance with Section 24 of the Supreme Court Act. The Applicant never subsequently sought the setting aside of such judgment at any time. The first Respondent, armed with such judgment, sought the enforcement of the judgment through the Magistrates Court. This court cannot seek to declare otherwise to the issue which was resolved by the court which is superior to this court.

In the circumstances, the point *in limine* for res *judicata* is merited. It is accordingly upheld. The present application is an abuse of court process. It ought to be dismissed with costs. It is resultantly ordered as follows:

A. The point *in limine* raised by the first Respondent to the effect that the deponent to the founding affidavit lacks authority be and is hereby dismissed.

B. The point in *limine* for *res judicata* raised by the first Respondent be and is hereby upheld.

C. Consequently, the application be and is hereby dismissed with costs.

DEME J:……..…….

Zvimba Law Chambers, Applicant's Legal Practitioners.
Chambati Mataka & Makonese Attorneys at Law, first Respondent's Legal Practitioners.